Treasuries Near Three-Week High as Jobs Data May Cement Warsh Rate Hike Case

3.9%

Market move

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What 3.9% reveals

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Market move

68%

Market move

42%

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Warsh, who took the helm in March, has signaled a data-dependent approach. The May employment report, due Friday, is the first major labor market reading since his tenure began. Economists surveyed by Bloomberg expect nonfarm payrolls to have increased by 180,000, with the unemployment rate holding at 3.9%.

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A print at or above consensus would validate the hawkish tilt Warsh has telegraphed in recent speeches. At the May 21 Economic Club of New York address, Warsh stated that "the labor market remains too tight for comfort" and that "the Fed stands ready to act if inflation does not continue to moderate."

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The market is listening. Fed funds futures now imply a 68% probability of a 25-basis-point hike at the June 16-17 meeting, up from 42% a month ago, per CME data. A stronger jobs report would push that probability above 80%.

A rate hike would push SOFR higher, increasing floating-rate debt costs for borrowers

The implications for commercial real estate are direct. A rate hike would push SOFR higher, increasing floating-rate debt costs for borrowers who have not hedged. The 5-year swap rate, a benchmark for fixed-rate CRE loans, has already risen 35 basis points since Warsh's May speech.

Trepp data shows that CMBS conduit spreads have widened 15 basis points over the past two weeks

Lenders are adjusting. Trepp data shows that CMBS conduit spreads have widened 15 basis points over the past two weeks, as originators price in higher base rates. Borrowers seeking refinancing face a higher bar: debt service coverage ratios are tightening, and loan-to-value thresholds are dropping.

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The employment data itself will be parsed for sector-specific signals. Construction employment, a proxy for development activity, has added an average of 15,000 jobs per month over the past three months. A slowdown there would signal that higher rates are already cooling new starts.

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Retail and office employment figures matter too. If job growth remains concentrated in low-wage sectors while white-collar hiring stalls, the demand for office space will remain tepid. That dynamic is already priced into office REIT valuations, which trade at a 40% discount to NAV, per Green Street data.

If Friday's data confirms that trend, the rate hike is all but certain

The broader takeaway: the bond market is forcing the Fed's hand. Warsh inherited an economy where inflation, at 3.2% core PCE, remains above the 2% target. The labor market has not cracked. If Friday's data confirms that trend, the rate hike is all but certain.

Why it matters

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